

MSRF Inc.,

v.

HMM Company Limited

Docket No. 22-20

Respondent's Revised Proposed Findings of Fact

Public - Unrestricted

**BEFORE THE
FEDERAL MARITIME COMMISSION**

MSRF Inc.	)		
	)		
	)		DOCKET NO. 22-20
	)		
v.	)		
	)		
HMM Company Limited,	)		
	)		
	)		
	)		

**RESPONDENT HMM COMPANY LIMITED’S
REVISED PROPOSED FINDINGS OF FACT**

Respondent HMM Company Limited (“HMM”), through the undersigned attorneys, hereby submits the following proposed findings of fact:

A. The Parties

1. MSRF Inc. (“MSRF”) is a corporation organized under the laws of the State of Delaware that was established in 1995 and which manufactures and imports gourmet foods and gifts.

Complaint ¶12.

2. MSRF relies on David Reich, its founder, and Rochi Mirasol, manager of international logistics, to procure and manage ocean carrier services in transporting MSRF’s goods to and from the United States. Mirasol Tr. 12: 16-23 (RX0204); Reich Tr. 11:15-12:13 (RX0259).

3. HMM is a company organized under the laws of the Republic of Korea and is a vessel-operating ocean common carrier. Complaint ¶13.

B. MSRF Seeks a Back-Up Agreement with HMM

4. During the 2021-2022 period, MSRF had service contracts with four ocean carriers: Yang Ming Lines, CMA CGM, Evergreen, and HMM. Mirasol Tr. 14:12-15:2 (RX0205).

5. MSRF's contract with Evergreen was for fifty (50) forty-foot equivalent units ("FEUs") of space during the 2021-2022 contract period. Mirasol Tr. 16:7-16 (RX0205).

6. MSRF's contract with CMA CGM was for 200 FEUs of space during the 2021-2022 contract period. Mirasol Tr. 117:7-9 (RX0230).

7. MSRF's contract with Yang Ming Lines was for 100 FEUs of space during the 2021-2022 contract period. Mirasol Tr. 34:1-3 (RX0210).

8. During the negotiation period for the 2021-2022 ocean shipping contract season, MSRF encountered difficulty securing space commitments from ocean carriers. Mirasol Tr. 117:17-118:13 (RX0230-31).

9. MSRF entered into negotiations with HMM as a back-up to the ocean carrier contracts with much larger MQCs than it had secured for 2021-2022. Mirasol Tr. 14:7-16:23 (RX0205), 28:12-29:2 (RX0208).

10. HMM entered into negotiations with MSRF in early 2021 for a new service contract. Complaint ¶22.

11. The negotiation of the new service contract took place during the COVID-19 pandemic when market conditions had been disrupted and ocean shipping services were experiencing significant constraints, colloquially called the "supply chain crisis". McDonald Tr. 11:10-12:12 (CX0266); (RX0359); (RX0354-57).

12. Among other things, the supply chain crises included shortages of shipping containers, chassis to carry them, workers at all levels, and significant port backlogs in Asia and the United States West Coast. Mirasol Tr. 56:6-16 (RX0215); Reich Tr. 28:11-13 (RX0263); Hopman Tr. 11:10-12:12 (CX0266); *see Final Report, FMC Fact Finding Investigation 29: Effects of the Covid-19 Pandemic on the U.S. International Ocean Supply Chain*, F. MARITIME COMM'N (May

31, 2022),

<https://www2.fmc.gov/readingroom/docs/FFno29/Fact%20Finding%2029%20Final%20Report.pdf/> (last visited May 4, 2023).

13. When negotiating the new service contract with HMM, MSRF was aware of the supply chain crisis and the limitations imposed thereby on the transportation of goods. Mirasol Tr. 117:12-120:3 (RX0230-31).

14. MSRF sought a service contract with HMM wherein no MQC would be specified. Mirasol Tr. 43:3-44:16 (RX0212), 120:4-17 (RX0230) (RX0359).

15. When negotiating with HMM, MSRF demanded that HMM agree that no charges would be assessed at the end of a service contract if MSRF was unable to meet its minimum quantity commitment (“MQC”). (RX0360).

16. HMM offered MSRF a service contract for 100 FEUs, but MSRF requested a service contract for only twenty-five (25) FEUs in response. (RX0379-80).

17. Although this was the smallest MQC HMM could consider, HMM agreed to a twenty-five (25) FEU MQC. During negotiations, HMM advised MSRF that terms and conditions not specifically outlined in the offer would be per HMM’s tariff. (RX0368).

18. HMM Rule 208-A of Tariff HDMU-047 provides for calculations of cargo volumes, in FEUs, for non-standard containers such as high-cube containers; one forty-foot high cube container is equivalent to 1.125 FEU. (RX0002).

19. HMM Rule 208-A of Tariff HDMU-047 states that HMM shall accept approximately 2% of the annualized MQC in a service contract per week unless otherwise specifically authorized in the service contract. (RX0002-03)

20. HMM Rule 208-A of Tariff HDMU-047 provides a remedy if HMM fails to provide 2% of an annualized MQC due to HMM's inability to supply space or container equipment; within seven days of such a failure, a shipper may request to either reduce the MQC by the volume of cargo refused or may request an extension of the term of the service contract. (RX0002-03).

C. The Service Contract

21. The negotiations between MSRF and HMM culminated in a Service Contract US2124083 (the "Service Contract") commencing May 1, 2021. (RX0007-18).

22. The Service Contract contains a total MQC of fifty (50) FEUs, with a twenty-five FEU MQC for Asia to US transportation and a twenty-five FEU MQC for US to Asia. (*Id.*).

23. The Service Contract has two separate sections, one each for the Asia to US and the US to Asia services. (*Id.*).

24. This lawsuit alleges only a breach of the Service Contract as it relates to the Asia to US services, and Respondent's references to the Service Contract henceforth refer to only the Asia to US component.

25. The Service Contract provided, *inter alia*, for the shipment of twenty-five (25) FEUs from certain named ports in Asia to certain named destinations in the United States and one named destination in Canada (the "Lanes"). (RX0007-18).

26. The Service Contract specifically incorporated Rule 208-A of Tariff HDMU-047 by reference in Section 5 ("Service Commitment"), Section 7 (Liquidated Damages), Section 11 (Records), and Section 13 ("Governing Tariff"). (RX0007; RX0014).

27. MSRF was aware that the tariffs were incorporated into the Service Contract at the time the Service Contract was entered into. *Mirasol Tr.* 58:2-15 (RX0216).

28. However, MSRF did not bother to obtain a copy of the tariff or review prior to executing the Service Contract. Mirasol Tr. 60:19-21 (RX0216).

29. During the term of the Service Contract, it was amended fourteen times (each, an “Amendment”). (CX0008-0201).

30. Service Contract Amendments 1 through 5 added additional Lanes at MSRF’s request. (RX0019-83).

31. Service Contract Amendments 6 and 7 added peak season surcharges for certain Lanes. (RX0084-0109).

32. Service Contract Amendments 8 through 12, inclusive, added more additional Lanes at MSRF’s request. (RX0110-74).

33. Service Contract Amendment 13 extended the term of the Service by ten (10) weeks to July 8, 2022. (RX0175-87).

34. Service Contract Amendment 14 added an additional Lane at MSRF’s request. (RX0188-0200).

35. All of the Service Contract Amendments were signed by MSRF and HMM and were filed with the FMC.

36. The Parties agreed that HMM was only responsible for transporting the MQC evenly spaced out over the life of the Service Contract.

37. Pursuant to Tariff HDMU-047, Rule 208-A, Clause 7(a) (SERVICE COMMITMENT (Non-Performance), the Parties agreed:

The Carrier agrees to make available during the term of this Contract vessel capacity & container equipment adequate to carry (1) the Minimum Quantity Commitment of cargo and (2) at the Carriers option any additional cargo tendered by the Shipper during the term of this Contract. The Shipper agrees that as far as possible cargo committed under this Contract will be shipped evenly throughout the duration of the Contract. (RX0002-03).

38. In the event that the MQC was not met, the Parties agreed to a specific mechanism whereby MSRF could either adjust the MQC to reflect those actually shipped or, if MSRF took no action, the term of the Service Contract would be extended to give MSRF an opportunity to meet the MQC. (RX0002-03).

39. The Parties also agreed:

In the event that the Minimum Quantity Commitment set forth in Appendix is not fulfilled due to Carriers inability to supply space or container equipment for causes not covered in Article 10. on any particular vessel of the Carrier after giving fourteen (14) days booking notice then, upon the Shippers written request within seven (7) working days of such occurrence together with essential supporting documents which are later confirmed to be accurate, shipper may elect one of the following options.

- (i) The Carrier will adjust the contractual Minimum Quantity Commitment set forth in Appendix by the actual quantity of cargo tendered but not carried on the Carriers vessel or on a pro-rate basis, whichever lower. Such pro-rate basis shall be defined as the Minimum Quantity Commitment divided by the Carriers total number of sailings during the term of the Contract.
- (ii) If the Shipper does not elect to reconcile the shortage by reducing the minimum quantity commitment set forth in Appendix with aforementioned method, then such shortage will be reconciled upon expiration of the contract by extending the term of the Contract by {Contract Duration times (x) number of TEUs that was tendered to Carrier per Article (7)(a) herein but failed to be carried divides (/) Total MQC}. The extension of Contract term must be filed in writing on or before the expiration date with FMC as per 46 CFR 530.8. In no case will the extension exceed ten (10) consecutive weeks.

Tariff HDMU-047, Rule 208-A, Clause 7(a). (RX0002-03).

40. MSRF did not make an election under Tariff HDMU-047, Rule 208-A, Clause 7(b).

Reich Tr. 49:1-50:17 (RX0268-69); Mirasol Tr. 68:7-69:10 (RX0218).

41. Since MSRF failed to make an election under Tariff HDMU-047, Rule 208-A, Clause 7, MSRF extended the service contract by the maximum acceptable term of ten weeks.

42. When HMM advised MSRF of the extension, MSRF accepted this offer in an email dated April 29, 2022, and affirmed that MSRF accepted the extension in anticipation of MSRF's peak seasonal volume during the summer. (RX0386-87); Mirasol Tr. 76:4-77:17 (RX0220).

43. Thereafter, MSRF requested Amendment 14 to the Service Contract to include an additional Lane. (CX0189-0201).

44. MSRF's request for an additional Lane at the end of the Service Contract was so that MSRF could sell additional goods to an MSRF client. (RX0328-30).

45. Although HMM did not have to agree, HMM accepted MSRF's request to add an additional Lane and agreed to Amendment 14. (RX0328-30); (RX0414); (CX0206)(showing the completed shipment from Qingdao to Houston).

46. MSRF later shipped a container on this new Lane. (CX0206; RX0322).

47. The Service Contract's term concluded on July 8, 2022. (CX0189-0201).

D. HMM Performed the Service Contract

48. During the term of the Service Contract, HMM shipped 46.875 FEUs on behalf of MSRF. (CX0206-0235); Reich Tr. 69:1-70:7 (RX0273-74), 81:13-24 (RX0276) (RX0850-55).

49. During the term of the Service Contract, ocean carrier performance generally was hindered significantly by pandemic-related congestion and equipment shortages. (*See Fact Finding Investigation 29 Final Report, supra*).

50. MSRF has failed to produce any evidence showing that HMM refused to accept cargo tendered by MSRF.

51. MSRF has failed to produce any correspondence or other documents showing a refusal by HMM to ship containers offered for shipment under the Service Contract. *See Complainant's*

Proposed Finding of Facts, FMC Dkt. 22-20 (filed Apr. 21, 2023); *see also* Complainant's Appendix (CX0001-0273).

52. MSRF understood that HMM Rule 208-A of Tariff HDMU-047 plainly stated that HMM did not guarantee service to or from any particular port or point under the geographic scope of the contract. Mirasol Tr. 69:24-70:11 (RX0218-19).

53. MSRF tendered a total of 46.875 FEUs for shipment under the Service Contract. (CX0206).

54. MSRF admits that HMM accepted bookings requested by MSRF in excess of the 25 MQC required under the Service Contract even though HMM was not required to provide excess capacity under the Service Contract. Mirasol Tr. 64:15-65:23 (RX0217); (RX0001-06).

55. During the Service Contract's extended term, MSRF described its benefit of shipping at HMM's 2021-2022 rates during June of 2022 favorably, saying that "[p]aying below \$5k for the base freight all the way to Chicago, is like winning a casino jackpot." (RX0331).

56. MSRF also stated that it wished that HMM would provide a further extension of the Service Contract beyond the term because of the savings MSRF was experiencing at the time. (*Id.*); Mirasol Tr. 92:9-16 (RX0224).

57. MSRF indicated that the extension provided a significant benefit and that MSRF took advantage of the low rates during the extended term by shipping over 46 FEUs instead of only 25 FEUs provided for in the MWC. Mirasol Tr. 92:13-24 (RX0224).

58. MSRF admitted that the rates under the Service Contract were approximately \$5,000 per FEU below the market rates during the time period of the Service Contract extension from May to July of 2022. Mirasol Tr. 89:17-20 (RX0223); 90:21-24 (RX0224).

59. MSRF admitted that the shipment of containers under the Service Contract during the extended term amounted to over \$180,000 in savings to MSRF because approximately 36 FEUs were shipped during the final ten (10) weeks of the Service Contract at a savings of approximately \$5,000 per FEU. Mirasol Tr. 90:21-91:13. (RX0224).

E. MSRF Has Failed to Support The Alleged Damages

60. MSRF has provided HMM with several spreadsheets purporting to support MSRF's damages claim.

61. The first iteration of this damages spreadsheet was produced on or about February 17, 2023, prior to the depositions of MSRF's witnesses.

62. When deposed, MSRF took the position that they were seeking damages in the sum of \$1,770,303.63. Mirasol Tr. 96:6-24 (RX0225).

63. The first iteration of this damages spreadsheet was riddled with errors and was retracted by MRSF during the depositions of its witnesses. Mirasol Tr. 97:5-112:20 (RX0225-29).

64. MSRF provided an Excel spreadsheet which purports to demonstrate its damages for non-performance under the Service Contract by HMM (the "Damages Spreadsheet"). (CX0246-0252).

65. The Damages Spreadsheet is riddled with fundamental errors which preclude it from being considered as evidence of any kind.

66. The Damages Spreadsheet was prepared by MSRF's counsel.

67. The Damages Spreadsheet is purportedly supported by documents produced during discovery which reflect business records; in fact, the Bates references are simply references to invoices for shipping and show no other evidence of the alleged damages. Reich Declaration ¶17 (CX0004); Damages Spreadsheet Native (RX0391); *see generally* RX0432-0849.

68. The Damages Spreadsheet contains the details of [REDACTED] containers in the detailed tabs of its Damages Spreadsheet but asserts that [REDACTED] containers were overcharged on the Summary tab. More specifically, Tab 2's Column V "No of Containers" adds up to [REDACTED] containers while the Tab 1, the Summary Tab, lists [REDACTED] containers for the shipper identified in Tab 2. Damages Spreadsheet (RX0391); Reich Declaration ¶17 (CX0004).

69. MSRF's Damages Spreadsheet does not identify or provide details regarding shipments that were allegedly transloaded or which required chassis charges due to the fault of HMM; [REDACTED] shipments (some of which include more than one container) contain charges for chassis that were allegedly the result of transloading or required chassis charges. Damages Spreadsheet (RX0391).

70. MSRF states that the information in the Damages Spreadsheet is supported by documents cited in Column B of Tabs 2, 3, and 4. Damages Spreadsheet (RX0391); Reich Declaration ¶17 (CX0004).

71. MSRF included in its Damages Calculations shipping charges for air freight, including on Tab 2, Row 38, where MSRF included in its damages shipping costs [REDACTED]; the same row shows that MSRF did not offset these damages with any freight rate that would have been paid for shipping of the cargo by HMM. Damages Spreadsheet (RX0391); (RX0439-40). The documents that allegedly support this charge, in handwritten notes on the air freight receipt state "no cntr available w/ any NVOs" but does not include any reference to ocean carriers' equipment availability. (RX0540).

72. MSRF has not even alleged that HMM is liable for air freight charges let alone produced any agreement pursuant to which HMM accepted liability for air freight.

73. MSRF's Damages Spreadsheet contains flawed information, including the information on Row 77 of Tab 2 ("Qingdao Giftpackers (QGP)") which states that documents Bates numbered 0010237-0010282 support the information in Row 77, including that [REDACTED] containers were shipped in Column V for [REDACTED] and that the carrier in Column AG is "[REDACTED]". The underlying documents demonstrate that, in fact, [REDACTED] containers were shipped, and the carrier of the cargo was Wan Hai Lines. (RX0706-0708); Damages Spreadsheet (RX0391).

74. Without doing an exhaustive analysis of the contents of the Damages Spreadsheet, MSRF has made additional errors in its damages calculations, including by listing at least [REDACTED] [REDACTED] instead of a [REDACTED] where the column heading, titled [REDACTED] would suggest that [REDACTED] should be named (See Tab 2, Row 90, Column AG) and other errors. Damages Spreadsheet (RX0391).

75. MSRF also alleges that chassis and other charges were incurred due to transloading, but the documents provided do not support the alleged damages as stated in the Reich Declaration. Damages Spreadsheet (RX0391); Reich Declaration ¶17 (CX0004). For example, Tab 2, Row 91, Column AF shows chassis costs of [REDACTED]; these costs are not supported by the cited Bates numbers in the same row which do not appear to show any chassis charges. (RX0773-76). Damages Spreadsheet (RX0391).

76. MSRF similarly alleges that [REDACTED] in chassis costs were incurred on Tab 2, Row 92, Column AF, but relies on documents which do not appear to show that any chassis charges were incurred. (RX0777-80). Damages Spreadsheet (RX0391).

77. MSRF similarly alleges that [REDACTED] in chassis costs were incurred on Tab 2, Row 93, Column AF, but relies on documents which do not appear to show that any chassis charges were incurred. (RX0783-788). Damages Spreadsheet (RX0391).

78. Without an exhaustive analysis of the chassis charges, it is clear that at least [REDACTED] of MSRF's alleged chassis costs of [REDACTED] are unsupported by the evidence cited to by MSRF. Damages Spreadsheet (RX0391); *see* ¶¶44-46 *supra*.

79. MSRF's Damages Spreadsheet alleges damages for routes that were not a part of the Service Contract, including for transport between [REDACTED] [REDACTED] Damages Spreadsheet (RX0391); *compare to* (RX0188-0200) (Amendment 14)(showing no rates for the lanes listed).

80. In fact, [REDACTED] of the listed shipments ([REDACTED] total containers) allege damages for containers shipped on routes that were not part of the Service Contract. Damages Spreadsheet (RX0391).

81. For each of the instances where a route was not part of the Service Contract, MSRF listed HMM's Service Contract Rate (Row Z on Tab 2 and Row Y on Tab 3) as [REDACTED]. Damages Spreadsheet (RX0391).

82. For each of the instances where a route was not part of the Service Contract, MSRF then calculated the difference between HMM's Service Contract Rates and what it paid to ship particular shipments in what it called "Hyundai Difference" (Row AA on Tab 2 and Row Z on Tab 3); where [REDACTED] was listed for HMM's Service Contract Rate, MSRF assumes that the difference includes the [REDACTED] Damages Spreadsheet (RX0391).

83. MSRF's detailed tabs (Tabs 2, 3, and 4) indicate that a total of [REDACTED] was spent on freight for the containers it includes in these tabs; [REDACTED] is attributable to lanes which were not part of the Service Contract. Damages Spreadsheet (RX0391).

84. MSRF alleges damages that are unsupported by its own analysis and the testimony of MSRF's witnesses who acknowledged the satisfaction of the Service Contract's MQC and the

significant benefit that MSRF attained through the extension of the Service Contract's term.

Damages Spreadsheet (RX0391); CX0206-0235; Mirasol Tr. 90:21-91:13. (RX0224); Mirasol

Tr. 92:13-24 (RX0224).

Dated: June 9, 2023

Respectfully submitted,

COZEN O'CONNOR

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 9th day of June, 2023, a true and correct copy of the foregoing Respondent's Revised Affirmative Facts was served via electronic mail on:

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